

Chapter Review

Key Terms

Beijing Consensus (A view that questions Washington Consensus' belief in the superiority of private ownership over state ownership in economic policy making, which is often associated with the position held by the Chinese government.)

Bounded rationality (The necessity of making rational decisions in the absence of complete information.)

Civil law (A legal tradition that uses comprehensive statutes and codes as a primary means to form legal judgments.)

Cognitive pillar (The internalized (or taken-for-granted) values and beliefs that guide individual and firm behavior.)

Command economy (An economy that is characterized by government ownership and control of factors of production.)

Common law (A legal tradition that is shaped by precedents and traditions from previous judicial decisions.)

Copyright (Exclusive legal right of authors and publishers to publish and disseminate their work.)

Democracy (A political system in which citizens elect representatives to govern the country on their behalf.)

Economic system (Rules of the game on how a country is governed economically.)

Formal institution (Institution represented by laws, regulations, and rules.)

Institution-based view (A leading perspective in global business that suggests that the success and failure of firms are enabled and constrained by institutions.)

Institutional framework (Formal and informal institutions that govern individual and firm behavior.)

Institutional transition (Fundamental and comprehensive changes introduced to the formal and informal rules of the game that affect firms as players.)

Institution (Formal and informal rules of the game.)

Intellectual property (IP) (Intangible property that is the result of intellectual activity.)

Intellectual property right (IPR) (Right associated with the ownership of intellectual property.)

Legal system (The rules of the game on how a country's laws are enacted and enforced.)

Market economy (An economy that is characterized by the "invisible hand" of market forces.)

Mixed economy (An economy that has elements of both a market economy and a command economy.)

Moral hazard (Recklessness when people and organizations (including firms and governments) do not have to face the full consequences of their actions.)

Normative pillar (The mechanism through which norms influence individual and firm behavior.)

Norms (Values, beliefs, and actions of relevant players that influence the focal individuals and firms.)

Opportunism (The act of seeking self-interest with guile.)

Patent (Exclusive legal rights of inventors of new products or processes to derive income from such inventions.)

Piracy (Unauthorized use of intellectual property.)

Political risk (Risk associated with political changes that may negatively impact domestic and foreign firms.)

Political system (The rules of the game on how a country is governed politically.)

Property right (The legal right to use an economic property (resource) and to derive income and benefits from it.)

Regulatory pillar (The coercive power of governments.)

State-owned enterprise (SOE) (A firm owned and controlled by the state (government).)

Theocratic law (A legal system based on religious teachings.)

Totalitarianism (dictatorship) (A political system in which one person or party exercises absolute political control over the population.)

Trademark (Exclusive legal rights of firms to use specific names, brands, and designs to differentiate their products from others.)

Transaction cost (The cost associated with economic transactions or, more broadly, the cost of doing business.)

Transition economies (A subset of “emerging economies,” particularly those moving from central planning to market competition (such as China, Poland, Russia, and Vietnam).)

Washington Consensus (A view centered on the unquestioned belief in the superiority of private ownership over state ownership in economic policy making, which is often spearheaded by the U.S. government and two Washington-based international organizations: the International Monetary Fund and the World Bank.)